the Imperial Bank did not have the power of issuing notes and had to depend on the government balances lodged with it. These balances were, however, subject to fluctuations, and the bank was compelled to turn to the government time and again for replenishment of its cash resources by way of loans from the paper currency reserve against the security of internal bills of exchange.[9] The Paper Currency Act II of 1910 was amended under which the Governor General in Council could authorize the Controller to issue currency notes to an amount in all not exceeding ₹5 crores against bills of exchange which were to mature within ninety days from the date of such issue. The ceiling of ₹5 crore prescribed by the above section was later raised to ₹12 crore by a subsequent amendment in 1923.[10]

Within five years, the Imperial Bank had succeeded in increasing its branch network more than two-fold (from 70 in 1921 to 162 in 1925) accounting for a little over one-fourth of the total bank branches in India. The deposits of the Imperial Bank were enormous and accounted for about 40 percent of the total deposits of all banks, 118 percent of the deposits of exchange banks, and 144 percent of the deposits of joint-stock banks operating in India in 1925. The Imperial Bank derived its income principally from the interest earned on advances (cash credits, overdrafts, and demand loans) and investments, discount collected on bills discounted, exchange received on remittances (drafts and telegraphic transfers), and commission earned on the collection of various instruments. The main heads of expenditure other than interest paid on deposits and borrowings included cost of establishment, rent, taxes, depreciation and repairs to bank property, miscellaneous expenses, and stationery.[11]

The banking crisis of 1913–14 had clearly exposed the reluctance of the government and the Presidency Banks to assist financial institutions of Indian origin which were in serious pecuniary difficulties. But when in 1923, the Alliance Bank of Simla Ltd, a European joint-stock bank registered in India went into liquidation, the government quickly intervened and employed the Imperial Bank to protect the interests of its depositors. This was rather unusual at a time when as many as twenty banks operating in the provinces of Madras, Bombay, Bengal, the United Provinces, and the Punjab had already been driven to the wall.[12] On July 26, 1922, the Central Board Committee of the Imperial Bank authorized the Managing Governors of the bank to grant a cash credit advance of ₹2 crore. But no amount of